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EU Institutions — Combined Study Guide

Sources: Compact Exam Handbook by Rania El Ghalbzouri (KU Leuven MBA Bridging Programme) — primary document — supplemented by the course-slide Study Summary: revision checklist, high-yield comparison tables, exam-focus reminders, and glossary.

Chapter 1 — Institutions of the European Union This chapter establishes what kind of entity the EU is, traces the history of European integration from the post-war period to the Treaty of Lisbon and Brexit, explains the rules and process for EU membership and withdrawal, and describes the composition, powers, and decision-making rules of each of the four political institutions plus the Court of Justice. It forms the constitutional bedrock for everything else in the course: competences, policy-making procedures, the single market, the EMU, and EU external relations all presuppose a working knowledge of the institutional architecture analysed here.

1. What Kind of Entity Is the EU? 1.1 International Organisations — Basic Concepts The EU is an international organisation. International organisations share four defining features: they are established by states through a founding treaty; they pursue common goals set out in that treaty; they operate through common organs (secretariat, council, assembly, etc.); and they possess international legal personality, meaning they hold rights and duties under international law and their headquarters are inviolable. Common examples include the UN, WTO, WHO, NATO, IMF, World Bank, ASEAN, and Mercosur. All are established by states. The EU belongs to this family but is exceptional within it because it combines supranational and intergovernmental elements simultaneously.

1.2 Supranational vs Intergovernmental This distinction is the single most important conceptual tool in the course. It runs through every chapter and recurs in almost every exam question.

[KEY] Key distinction: Supranational organisation vs Intergovernmental organisation In a supranational organisation, member states transfer sovereignty — decisionmaking powers — to the organisation for specific policy areas. Decisions can be taken by majority vote and are legally binding on all members, including those that voted against. An independent organ (judges, commissioners) can also bind member states without their individual consent. In an intergovernmental organisation, no sovereignty is transferred. Legally binding decisions require unanimity; a state cannot be bound against its will. Decisions taken by majority are only binding on states that voted in favour. The EU is unique because it

contains both features. Most economic policy areas (customs union, single market, competition, trade, monetary policy for the eurozone) are supranational: QMV in the Council can bind a dissenting member state. The

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Common Foreign and Security Policy remains purely intergovernmental: all decisions require unanimity and no legislative acts can be adopted. No other international organisation combines these two dimensions at the EU's level of depth and legal integration.

[!] Exam warning: Almost all major international organisations outside the EU are predominantly intergovernmental (UN, NATO, WTO, WHO, IMF). The EU is exceptional precisely because it is substantially supranational. Be ready to explain the exact consequences: majority voting, legally binding decisions, and the ability to bind a dissenting member state.

2. Historical Overview of European Integration The EU emerged from two urgent post-war challenges: rebuilding destroyed European economies and preventing future large-scale conflict. Economic integration was used deliberately as an instrument of peace — embedding former enemies in a web of mutual dependency that would make war materially impossible.

2.1 Post-War Foundations (late 1940s) — All Intergovernmental Three organisations were created in rapid succession after 1945. All were purely intergovernmental. •

Organisation for European Economic Cooperation (OEEC, 1948): Established to coordinate economic recovery and distribute Marshall Plan aid from the United States. Later evolved into the OECD (Organisation for Economic Cooperation and Development), still based in Paris.

•

Council of Europe (1949): Founded on Churchill's initiative to promote democracy, rule of law, and human rights. Its main instrument is the European Convention on Human Rights (ECHR), enforced by the European Court of Human Rights in Strasbourg. Currently 46 member states — significantly larger than the EU. Has nothing to do with EU institutions or EU law.

•

NATO (1949): Military collective-defence alliance. Article 5 makes an armed attack against one member an attack against all, entitling a collective armed response. Includes the USA and Canada; purely intergovernmental; decisions by consensus.

[!] Exam warning — Council of Europe ≠ European Council ≠ Council of the EU. The Council of Europe is a separate international organisation (46 members, founded 1949, no link to EU). The European Council and the Council of the EU are both EU institutions, but with entirely different compositions and powers. This distinction is tested every year.

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2.2 The 1950s — First Supranational Steps In 1950, French Foreign Minister Robert Schuman proposed placing the FrancoGerman coal and steel industry under a supranational authority. The strategic logic was explicit: coal and steel are the raw materials of military production; pooling them would make war between France and Germany materially impossible. Economic integration as an instrument for peace — a theme that runs through the entire history of the EU. The six founding states — France, West Germany, Italy, Belgium,

the Netherlands, and Luxembourg — agreed to the Treaty of Paris (1951), establishing the European Coal and Steel Community (ECSC). This was the first genuinely supranational organisation in history: the High Authority could take legally binding decisions over the coal and steel sector without requiring unanimous agreement. In 1952, the same six states attempted a European Defence Community (EDC) — a supranational military organisation to manage West German rearmament in the context of Cold War tensions. France refused to ratify, fearing a supranational command over its armed forces just seven years after the war. A purely intergovernmental alternative, the Western European Union (WEU), was established instead. The Treaties of Rome (1957, in force 1 January 1958) created the European Economic Community (EEC) — with a common market covering goods, services, capital, and labour, plus common agricultural, competition, and trade policies — and EURATOM for civilian nuclear energy. The six founding states had committed to the most ambitious economic integration project the world had seen.

2.3 The 1960s–1980s: Enlargements, Crises, and the SEA The 1960s and 1970s were marked by political friction (de Gaulle’s ‘empty chair’ policy paralysing Council decisions) and steady enlargement. The UK, Denmark, and Ireland joined in 1973 (first enlargement); Greece in 1981 (second); Portugal and Spain in 1986 (third). Austria, Finland, and Sweden joined in 1995 (fourth). The decisive renewal came in the 1980s. Commission President Delors published the 1985 White Paper ‘Completing the Internal Market’, identifying three categories of barriers — physical (border checks), technical (divergent product standards), and fiscal (different VAT and excise duties) — and proposing a package of roughly 300 legislative measures to be adopted by 31 December 1992. To make this possible, the Single European Act (1986) introduced qualified majority voting (QMV) in the Council for single-market measures (removing the unanimity blockage), the concept of mutual recognition, and a strengthened role for the European Parliament.

2.4 The 1990s: The Maastricht Treaty and the Three-Pillar EU The fall of the Berlin Wall (1989), German reunification (1990), and the collapse of the Soviet Union (1991) transformed European politics. The Treaty on European Union, signed at Maastricht in 1992 and in force November 1993, created the European Union and introduced a three-pillar structure.

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Pillar

Content

Character

First Pillar

EC (ECSC + EEC + Predominantly EURATOM) + new supranational: QMV, competences: EMU, social decision with EP policy, education, culture

Second Pillar

Common Foreign Security Policy (CFSP)

Third Pillar

Cooperation in Justice and Purely intergovernmental: Home Affairs unanimity

co-

and Purely intergovernmental: unanimity, no legislative acts

Maastricht also extended QMV and introduced the co-decision procedure (later renamed the ordinary legislative procedure), significantly strengthening Parliament's role.

2.5 Nice (2001), the Constitutional Treaty (2004), and the Treaty of Lisbon (2009) The fifth enlargement (2004) brought in ten new member states — Czech Republic, Cyprus, Estonia, Hungary, Latvia, Lithuania, Malta, Poland, Slovakia, and Slovenia — followed by Bulgaria and Romania in 2007 (sixth enlargement) and Croatia in 2013 (seventh enlargement). Institutional reforms to prepare for this expansion were made at Nice (2001). The Treaty Establishing a Constitution for Europe (2004) failed after rejection by French and Dutch voters in 2005. The Treaty of Lisbon (signed 2007, in force 1 December 2009) preserved its key institutional innovations while abandoning the constitutional framing. It replaced the three-pillar structure with two equal treaties — the Treaty on European Union (TEU) and the Treaty on the Functioning of the European Union (TFEU) — and introduced several major democratic and institutional changes.

Key Lisbon Treaty innovations Permanent European Council President: Full-time, appointed for 2.5 years (renewable once) by QMV, replacing the six-monthly rotating presidency. High Representative for Foreign Affairs: Merged post of HR for CFSP and Commissioner for External Relations; also VP of the Commission; chairs the Foreign Affairs Council. European External Action Service (EEAS): EU diplomatic service, operational from 2012. European Citizens' Initiative: One million signatures from at least seven member states can invite the Commission to propose legislation.

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OLP as standard procedure: The ordinary legislative procedure (co-decision) extended to almost all policy areas. Charter of Fundamental Rights: Legally binding, same status as the treaties. Yellow card for national parliaments: One-third of national parliaments can formally object that a proposal violates subsidiarity; Commission must review. Article 50 TEU: Explicit withdrawal procedure for the first time. Brexit — the UK's withdrawal following the 2016 referendum — was the first application of Article 50. The UK formally left on 1 February 2020, reducing EU membership to 27.

2.6 Integration Timeline Figure — EU Integration Timeline: This figure maps the major treaties and organisations of European integration, distinguishing supranational initiatives (ECSC, EEC, SEA, EMU) from intergovernmental ones (Council of Europe, NATO, CFSP). The key takeaway is that economic integration consistently preceded and enabled political integration, and that supranationality expanded gradually while certain domains (defence, foreign policy) have remained intergovernmental.

3. Enlargement and Withdrawal 3.1 Eligibility: Copenhagen Criteria Article 49 TEU: any European state that respects EU values (Article 2 TEU: human dignity, freedom, democracy, equality, the rule of law, human rights) may apply. The Copenhagen criteria (1993) operationalise this requirement: •

Political: stable institutions guaranteeing democracy, rule of law, human rights, and protection of minorities.

•

Economic: a functioning market economy able to cope with competitive pressure within the EU.

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Administrative: the capacity to take on EU membership obligations — full implementation of the *acquis communautaire*.

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3.2 Membership Procedure (Three Steps) 1. Candidacy: The state applies to the Council. The Commission assesses eligibility. The Council decides (unanimity of all member states) whether to grant candidate status and open negotiations. 2. Membership negotiations: The Commission negotiates the terms — primarily the time frames for implementing each chapter of the *acquis*. The Council must approve each completed chapter. The process is monitored through regular Commission progress reports. 3. Accession: Once complete, the Commission gives its opinion; an accession treaty is drawn up; the European Commission, European Council, and European Parliament must all approve; all existing member states and the candidate state ratify. Current candidate countries (2026): Montenegro, Serbia, Turkey, North Macedonia, Albania, Ukraine, Moldova, Georgia, and Bosnia and Herzegovina. The acceleration of candidacies for Ukraine, Moldova, and Georgia reflects the geopolitical impact of Russia's full-scale invasion of Ukraine in 2022.

3.3 Benefits and Drawbacks of EU Membership Benefits

Drawbacks

Political stability within a Loss of monetary policy autonomy (for eurozone democratic community members) Freedom to live, work, study, Loss of sovereignty in areas of exclusive/shared competence Increased trade via single Economic disparities can create fiscal burdens market access Structural fund investment Cultural and identity concerns and cohesion funding Higher social, environmental, Crisis contagion through shared currency and consumer standards More influence for small Obligation to adopt EU legislation regardless of national states within larger bloc preference

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3.4 Enlargements and Withdrawals Figure — EU Enlargement and Withdrawal Table: This table lists all seven waves of enlargement from the original six (1958) through Croatia (2013, seventh enlargement), plus the UK's withdrawal in 2020. The key takeaway is the steady geographic widening of the EU and the unprecedented nature of Brexit as the first application of Article 50.

Figure — EU Enlargement Map: This map colour-codes member states by enlargement wave, showing the geographic expansion of the EU eastward and southward. The key takeaway is that enlargement has transformed the EU from a Western European club into a pan-European organisation, with the 2004 'big bang' enlargement being the largest single wave.

3.5 Withdrawal — Article 50 TEU Any member state may withdraw in accordance with its own constitutional requirements. It notifies the European Council, which provides guidelines. The Union negotiates and concludes a withdrawal agreement with the state — concluded by the Council by QMV after obtaining Parliament consent. If no agreement is reached within two years (extendable by unanimity), the state leaves without a deal. Brexit completed this process on 1 February 2020.

4. The Institutional Framework of the EU Article 13 TEU lists seven EU institutions. Four are political institutions involved in policy direction and law-making: the European Parliament, the European Council, the Council of the EU, and the European Commission. Three others have specialised mandates: the Court of Justice of the EU, the

European Central Bank, and the European Court of Auditors. Beyond these, nine EU bodies (e.g. the EEAS, Economic and Social Committee) and around 30 decentralised agencies (e.g. Europol, Eurojust) complete the architecture. Bodies are part of the EU; agencies have separate legal personality.

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4.1 The European Council Institution: European Council Main role

Provides the EU with political direction and defines general guidelines and priorities. Takes strategic decisions on enlargement, budget framework, and EU foreign policy.

Composition

Heads of state or government of all 27 member states + President of the European Commission. Members may be accompanied by a minister; Commission President by a Commissioner.

Key powers

Defines general political direction. Cannot adopt legislative acts. Appoints Commission President (QMV), its own President, and the High Representative. Decisions on enlargement candidacies require unanimity.

Democratic link

Represents member states at the highest political level. Indirectly democratically legitimate through national electoral processes.

Exam relevance

Distinguish from Council of EU (ministers, legislation) and Council of Europe (separate organisation). Cannot adopt legislation — only the Commission/Parliament/Council legislative trio can. Current President: António Costa (since 1 December 2024).

The Permanent Presidency was created by Lisbon. Previous holders: Herman Van Rompuy (2009–2014), Donald Tusk (2014–2019), Charles Michel (2019–2024). The President chairs summits, ensures preparation and continuity, and reports to the European Parliament after each meeting. Decisions in the European Council are taken by consensus — not formal voting but negotiation until no one objects — except where the treaties specifically provide for QMV (e.g. appointment of its President). The European Council's outputs are called 'Conclusions of the Presidency'. These have major political weight but are not legally binding legislative acts. They must be translated into legislation through the ordinary legislative procedure involving the Commission, Parliament, and Council of the EU. Parliamentary control over the European Council is very limited — the Parliament cannot censure it, which is one of the EU's persistent democratic deficits.

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4.2 The European Parliament Institution: European Parliament Main role

Represents EU citizens. Co-legislates with the Council under the ordinary legislative procedure. Approves the EU budget. Supervises the European Commission.

Composition

720 MEPs directly elected by EU citizens every five years in proportional elections. Grouped by political affinity into 8 political groups + non-attached members. President:

currently Roberta Metsola (Malta).

Key powers

Co-decision on legislation (OLP). Budgetary authority — final word on expenditures. Consent to international trade agreements. Approves Commission President and full College of Commissioners. Motion of censure can force Commission resignation. Individual Commissioner responsibility since Lisbon.

Democratic link

Directly elected — the only EU institution with a direct democratic mandate from citizens. Groups by political ideology, not nationality.

Exam relevance

The only directly elected EU institution — this uniqueness is a standard exam point. Three sources of uniqueness: parliamentary body in an IO; directly elected; genuine legislative powers.

EP elections take place every five years (most recently 2024: 720 seats). Seats are allocated among member states by degressive proportionality — smaller states are somewhat over-represented. Belgium has 22 MEPs; Germany has 96. Elections use proportional representation and are held simultaneously across all member states. The standard voting age is 18. The eight current political groups range from far-left to far-right. The two largest — the European People's Party (EPP, centre-right, ~188 seats) and the Socialists and Democrats (S&D, centre-left, ~136 seats) — have historically formed the legislative majority needed for most decisions. Since 2024, the Patriots for Europe group (rightwing nationalist, ~84 seats) is the third largest, including Rassemblement National (France) and Vlaams Belang (Belgium). The Renew group (liberal) and ECR (conservative) complete the major groups. Decisions in plenary require an absolute majority of votes cast. The Parliament meets in plenary at least 12 times per year in Strasbourg — a political compromise insisted upon by France — while committee work (22 committees) takes place in Brussels. MEPs are notably more independent of executive discipline than members of most national parliaments, giving the EP genuinely greater legislative influence in policy-making relative to many national parliaments.

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4.3 The Council of the European Union Institution: Council of the European Union Main role

Co-legislates with the Parliament. Represents member state governments in the legislative process. Coordinates economic policies. Concludes international agreements. Implements CFSP.

Composition

One representative at ministerial level from each member state. Meets in 10 configurations depending on subject matter: General Affairs; Foreign Affairs; Ecofin; Justice and Home Affairs; Employment/Social/Health; Competitiveness; Transport/Telecom/Energy; Agriculture; Environment; Education/Youth/Culture.

Key powers

Co-adoption of legislation (OLP). Budget authority (jointly with EP). Conclusion of international agreements. Coordination of economic and employment policy. CFSP decisions (by

unanimity).

Democratic link

Represents the member states — indirectly democratic through national governments answerable to national parliaments.

Exam relevance

Distinguish from the European Council (heads of government, no legislation) and Council of Europe (separate organisation, 46 members). Know the three voting rules and when each applies.

The Council presidency rotates among member states every six months. Currently: Cyprus (January–June 2026). The rotating state chairs all configurations except the Foreign Affairs Council, which is chaired permanently by the High Representative. Preparation occurs through COREPER (the Committee of Permanent Representatives) — ambassadors from each member state who resolve most technical issues before ministerial meetings.

Decision-making in the Council — Three Voting Rules Unanimity: Every member state must vote in favour. Any state can block (veto). Still applies to: CFSP/defence, indirect taxation, social security, EU membership, and constitutional-level decisions. Reflects intergovernmentalism. Qualified Majority Voting (QMV): Double majority: at least 55% of member states (≥ 15 out of 27) AND representing at least 65% of the EU population must vote in favour. Applies to most legislative decisions. A minority of states can be bound against their will — a supranational feature. Larger states (Germany, France, Italy, Spain, Poland) carry greater weight through the population criterion. Simple majority: 50%+1 of member states. Used only for procedural matters.

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QMV is the key supranational feature of the Council: it allows the EU to bind a dissenting member state. This is why, for example, Hungary can block sanctions decisions in the CFSP (unanimity), but cannot block single-market legislation (QMV). The distinction between policy areas where unanimity applies vs. QMV applies is one of the most important structural features of EU decision-making.

4.4 The European Commission Institution: European Commission Main role

The EU's supranational executive: proposes legislation, implements policy, manages the budget, enforces EU law, and represents the EU externally in trade matters.

Composition

College of 27 Commissioners (one per member state, though Lisbon originally allowed 2/3 — European Council confirmed one-per-state in 2009) + administrative arm of ~32,000 officials in Directorates-General (DGs). Current President: Ursula von der Leyen (since 1 December 2024, second term to 31 October 2029).

Key powers

Exclusive right of legislative initiative (with limited CFSP exceptions). Guardian of the treaties — can bring infringement proceedings before the CJEU. Manages the EU budget. Enforces competition law. Concludes trade negotiations.

Democratic link

Independent of member state governments — Commissioners must act in the general EU interest. Accountable to the European Parliament (approval and censure).

Exam relevance

The Commission is the institution most students underestimate. Its exclusive right of legislative initiative makes it the agendasetter for all EU law-making. Its role as guardian of the treaties makes it the enforcement authority. Know the appointment procedure and the Commission's role at every stage of the legislative process.

Commission Appointment Procedure Step 1: European Council nominates Commission President by QMV, taking into account EP election results. Step 2: European Parliament approves or rejects the proposed President by majority. Step 3: President-nominee + Council (QMV) adopt the list of 27 Commissioners, based on member state proposals. Step 4: European Parliament holds public hearings of each Commissioner-designate; votes to approve or reject the entire College as a body. Step 5: Council appoints the Commission by QMV. Term: 5 years (aligned with Parliament).

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Note: Since Lisbon, the Parliament can also force individual Commissioners to resign (through the Commission President). The College of Commissioners meets weekly, decides by unanimity where possible or by majority vote, and operates under collective responsibility. Commissioners are supported by personal cabinets and the relevant DG. Lobby groups — predominantly representing business interests (BUSINESSEUROPE, sector associations) — target the Commission at the initiative stage, before proposals are even published.

4.5 The Court of Justice of the European Union Institution: Court of Justice of the EU (CJEU) Main role

The EU's judicial authority. Ensures uniform interpretation and application of EU law. Enforces EU obligations on member states and institutions.

Composition

Two courts since 1989: the Court of Justice (27 judges, one per member state, 6-year renewable terms) and the General Court (54 judges, two per member state). Judges appointed by common accord of national governments; predominantly civilservice or academic backgrounds. Based in Luxembourg. Current CJ President: Koen Lenaerts (Belgium, also a KU Leuven professor).

Key powers

Compulsory jurisdiction — all member states accept it automatically on accession. Direct actions (annulment, failure to act, infringement). Preliminary rulings on interpretation of EU law for national courts.

Democratic link

Judges are independent; not representing national interests. Indirect democratic link through treaty framework established by member states.

Exam relevance

Understand the difference between direct actions and preliminary rulings. The preliminary ruling procedure is the key mechanism for uniform application of EU law across all 27 member states and the main indirect access route for individuals.

Preliminary Ruling Procedure (Article 267 TFEU) What it is: A national court handling a case involving EU law is uncertain about the correct interpretation of an EU rule. Step 1: The national court submits a reference question to the CJEU. Courts of final instance (no further appeal) must refer; lower courts may refer. Step 2: The CJEU gives an authoritative interpretation (a 'preliminary ruling'). Step 3: The national court applies that interpretation to decide the case.

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Why it matters: Promotes uniform interpretation and application of EU law across all 27 member states. Provides indirect access for individuals who cannot normally bring cases directly before the CJEU. Exam link: Contrast with direct actions (brought by institutions or member states). The preliminary ruling is the mechanism through which EU law penetrates and shapes national legal systems every day. Direct actions include: actions for annulment (challenging legality of EU acts), actions for failure to act (against inactive institutions), and actions for failure to fulfil treaty obligations (the Commission's main enforcement tool against non-compliant member states). Lengthy and costly procedures are the main practical weaknesses of the system.

4.6 The European Central Bank and European Court of Auditors The European Central Bank (ECB, Article 282 TFEU) is responsible for the monetary policy of the eurozone — currently 21 member states. It is independent of EU institutions and member state governments. Its primary objective is price stability (inflation target: close to but below 2%). It manages the euro, operates the Eurosystem, and since the Banking Union (2014) also supervises major eurozone banks under the Single Supervisory Mechanism. The ECB is a supranational institution with genuine exclusive power over monetary policy in the eurozone. The European Court of Auditors (Article 285 TFEU) examines whether EU funds have been collected and spent legally and in accordance with sound financial management. It produces annual reports (including the statement of assurance on the EU accounts) and special reports on specific spending programmes. It has no judicial powers — it does not impose penalties — but its findings are politically significant and can trigger Commission or OLAF investigations.

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Chapter 2 — Policy-Making in the EU: Competences and Budget This chapter covers how EU law is made (legislative procedures), the types of legal acts that result, the distribution of competences between the EU and member states, the subsidiarity principle, and the structure of the EU budget. Together these explain the constitutional logic of EU action: who can act, through which procedure, producing what type of binding act, funded by what revenues.

1. **Legislative Procedures** 1.1 **The Ordinary Legislative Procedure (Co-Decision)** The ordinary legislative procedure (OLP) — renamed from 'co-decision' by the Lisbon Treaty — is the standard legislative procedure for most EU policy areas. It establishes the Commission, Parliament, and Council as the three-institution legislative triangle, with Parliament and Council as co-equal legislators.

Ordinary Legislative Procedure Actors: European Commission (sole right of initiative), European Parliament (colegislator), Council of the EU (co-legislator). Step 1 — Commission proposal: Commission proposes a legislative act. Parliament and Council cannot initiate legislation themselves. Step 2 — First reading: Parliament adopts its position (possibly amending). Council either accepts Parliament's position (act adopted) or adopts its own

firstreading position. Step 3 — Second reading: Parliament approves the Council's position (act adopted), rejects it (act fails), or proposes amendments. If amended, goes to Council for second reading. Step 4 — Conciliation (if needed): A Conciliation Committee of equal EP and Council representatives negotiates a joint text within six weeks. Step 5 — Third reading: Both EP and Council must adopt the joint text without amendment. If either rejects, the act fails. Decision rule: Parliament by absolute majority; Council by QMV in most cases. Why it matters: Has become the dominant procedure since Lisbon, covering most EU policy areas. It is democratic (EP approval required), supranational (QMV in Council can bind dissenting states), and produces legally binding acts. Exam link: Know that the Commission is always the initiator. The Council cannot adopt an act the Parliament has not approved. The procedure is stipulated by the treaties for each legal basis — the institutions cannot choose which procedure to use.

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1.2 Special Legislative Procedures 1.2.1 Consultation Procedure Origin: the original procedure of the EEC, still the most widely used before the SEA. Now limited to specific areas: some internal market exemptions, competition law. Process: Commission proposes; Council seeks EP's opinion (compulsory, but nonbinding); Council votes. The Parliament is consulted but its opinion does not bind the Council. 1.2.2 Consent Procedure (formerly Assent) Introduced by the SEA. The EP must approve without the ability to propose amendments — a de facto right of veto. Used for: new EU membership (accession); withdrawal arrangements; international agreements in areas covered by OLP; cases of serious breach of fundamental rights (Article 7 TEU); and legislation against discrimination. Parliament votes yes or no.

1.3 The European Citizens' Initiative (ECI) Introduced by Lisbon as a direct democracy instrument. Allows citizens to invite the Commission to propose legislation in any area where the Commission has competence. Conditions: 7 citizens from at least 7 different member states who are old enough to vote must organise the initiative; once registered, must collect 1 million statements of support with minimum thresholds in at least 7 member states. Result: the Commission must consider the initiative and respond publicly. It is not obliged to propose legislation.

[!] Exam warning: The ECI gives citizens the right to invite (petition) the Commission to propose legislation — not the right to make formal legislative proposals themselves. The Commission retains its exclusive right of initiative. So far 127 initiatives have been registered; 11 have successfully reached the signature threshold.

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2. Types of EU Legislative Acts (Article 288 TFEU) Legislative procedures produce binding or non-binding acts. Understanding the exact legal character of each type is a core exam requirement. Act

Binding?

Regulation

Yes — in its Yes — applies No — directly All member entirety to all applicable states, persons, companies

Directive

Yes — as to Yes (by default) result only

Decision

Yes — in its No — specific No entirety addressee

Recommendation No / Opinion

General application?

N/A

Implementation Addressees needed?

Yes — member Member states states choose (and through form/methods them, individuals)

N/A

Named state(s), company, or individual Variable

[KEY] Key distinction: Regulation vs Directive A regulation is binding in its entirety and directly applicable: no national implementing act is needed and it automatically becomes part of national law. A directive is binding only as to the result to be achieved — member states choose the form and methods. The statement ‘a directive is binding in its entirety’ is FALSE (it describes a regulation). The statement ‘a directive is binding as to the result’ is TRUE.

3. New Modes of Governance: The Open Method of Coordination (OMC) Not all EU policy-making produces binding legislation. The Open Method of Coordination is an intergovernmental soft-law mechanism used in areas where the EU lacks or has only supporting competence: employment, economic policy, social protection, health, education.

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Open Method of Coordination Character: Purely intergovernmental — no transfer of sovereignty; no legally binding outcomes. Stage 1: Council agrees on broad policy goals (often vague to secure consensus). Stage 2: Member states translate goals into National Action Plans (or National Reform Programmes). Stage 3: Specific benchmarks and indicators are agreed to measure best practice. Stage 4: Results are monitored, evaluated, and published; ‘naming and shaming’ creates peer pressure. Why it matters: Contrast with OLP: the OLP produces binding acts via majority voting (supranational). The OMC produces non-binding guidelines via intergovernmental agreement. The OMC is used precisely where member states are unwilling to transfer legislative competence to the EU. Exam link: If asked why there is no binding EU legislation on education or employment policy: because these are supporting/coordinating competences, and the OMC — not legislation — is the tool.

4. CFSP Decision-Making The CFSP is the major exception to the supranational legislative pattern. Because it is purely intergovernmental: the Commission has no right of initiative (member states and the High Representative do); the Parliament is only consulted optionally; no legislative acts can be adopted; decisions are non-legislative acts taken by the European Council or Council, essentially by unanimity. Any single member state can block. This is why Hungary has been able to delay or veto EU sanctions packages against Russia — unanimity applies and no QMV override exists.
5. Vertical Separation of Powers: EU Competences Before analysing any EU policy, the first question is always: does the EU actually have competence to act in this area? The

Treaty of Lisbon introduced an explicit typology. The term 'competence' here means 'legislative competence' — the right to adopt binding rules.

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Type

Meaning

Exclusive

Only EU may Full legislative Only to legislate power implement EU acts, or if empowered by EU

Customs union; competition rules for internal market; monetary policy (eurozone); marine biological resources; common commercial policy

Shared

Both EU and MS may legislate, but MS only where EU has not acted

May legislate; once it does, it pre-empts member states

May act only where EU has not yet exercised competence

Internal market; social policy; cohesion; agriculture; environment; transport; energy; area of freedom/security/justice

Supporting / Member coordinating states retain legislative power; EU only supports

Financial incentives, coordination, soft measures; cannot harmonise national law

Full legislative power

Education; culture; tourism; industry

Special — Define economic guidelines for coordination economic and employment policy

Broad Coordinate European Semester; guidelines under EU Broad Economic Policy only; no framework Guidelines binding legislation

Special CFSP

Nonlegislative decisions; unanimity

— Define and implement common foreign and security policy

EU action

Member state action

Examples

Retain full Sanctions; EU external sovereignty; positions; CFSP joint cannot be actions bound without consent

[!] Exam warning: 'Shared competence' does not mean both the EU and member states always legislate simultaneously. Member states can only act where the EU has not yet exercised its competence. Once the EU adopts a measure, member states are pre-empted. Also: monetary policy is exclusive only for eurozone member states — non-eurozone members retain their own monetary policy.

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5.1 Subsidiarity Principle For all shared competences, the subsidiarity principle (Article 5(3) TEU, inserted at the UK's request in 1992) requires that the EU act only if the objective cannot be sufficiently achieved by member states acting alone and can be better achieved at EU level by reason of its scale or effects. It prevents centralisation of competences that member states can handle adequately. National parliaments police subsidiarity through the yellow card mechanism: one-third of national parliaments can formally object within eight weeks; the Commission must review and explain its decision.

6. The EU Budget 6.1 The Multiannual Financial Framework The EU budget operates within the Multiannual Financial Framework (MFF) — a seven-year spending plan setting ceilings for each expenditure category. The current MFF covers 2021–2027. The budget must balance — the EU cannot run a deficit.

6.2 Expenditure — Major Categories The two largest expenditure categories are cohesion policy (structural and investment funds supporting less-developed regions — supporting the convergence of living standards across the EU) and natural resources/agriculture (Common Agricultural Policy, fisheries, and rural development). Together these dominate the budget. Smaller but growing categories include research and innovation (Horizon Europe), migration and border management, and external action.

6.3 Revenue — Own Resources The EU budget is funded through 'own resources' — its own income streams, not transfers decided annually by member states. Revenue source

Basis

GNI-based contribution ~0.7% of each (largest source) state's gross income VAT-based contribution

Approximate share member ~65% national

0.3% uniform call rate on ~16% harmonised VAT base

Traditional own resources Collected on goods imported ~14% (customs duties + from outside the EU agricultural levies) Plastic own resource (since €0.80 per kg of non-recycled ~4.8% 2021) plastic packaging waste Other (fines, miscellaneous)

Rania El Ghalbzouri 20 MBA Bridging Programme

Competition fines, penalties, etc.

CJEU Remainder

Page

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[!] Exam warning: The statement 'customs duties on goods imported from outside the EU are the biggest source of EU revenue' is FALSE. The GNI-based membership contribution (~65%) is by far the largest source. Customs duties represent only ~14%.

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Chapter 3 — The Single Market The single market is the EU's central economic achievement. This chapter analyses the stages of economic integration, the original obstacles to the single market, how the 1992 programme addressed them, and the legal and economic content of the four freedoms. The chapter also covers the economic impact of the customs

union (trade creation and trade diversion) and the macroeconomic and microeconomic effects of the single market itself. It connects to Chapter 2 (competences: the single market is a shared competence) and Chapter 4 (the EMU builds on the single market).

1. Stages of Economic Integration Economic integration between states can proceed through four theoretical stages, each representing a deeper form of integration than the previous. The EU has passed through all four. Figure — Stages of Economic Integration: This flowchart shows the four stages: free trade area → customs union → single market → economic and monetary union. Each stage adds new features. The key takeaway is that the EU has progressed through all four stages, though not all member states are at the same level (not all are in the eurozone).

Stage

What is Key additional EU status abolished/added feature vs previous stage

Free trade area

Customs duties Each member Achieved 1968 among members retains own external abolished tariff

Customs union

Common external Common trade Achieved 1968 tariff for trade with policy toward third third countries countries becomes necessary (→ exclusive competence)

Single market Non-tariff barriers (common market) removed; free movement of goods, services, persons, capital

Mutual recognition; Substantially harmonisation of achieved; ongoing essential standards; regulatory cooperation

Economic monetary (EMU)

One central bank; Partly achieved (21 one interest rate; no eurozone members, exchange rate risk 2026) within the union

and Single currency; union common monetary policy; coordination of economic policies

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2. The Customs Union The Treaty of Rome (1958) set 1970 as the deadline to achieve a customs union. In fact it was completed on 1 July 1968 — 18 months ahead of schedule — with the abolition of all internal customs duties among the (then) six member states and the introduction of the Common Customs Tariff (CCT) for all goods entering from outside the EU. The CCT is the same for all member states: the simple average is 6.5%; the trade-weighted average is 1.1%, reflecting the many zero-rate items.

2.1 Economic Impact: Trade Creation and Trade Diversion The economic analysis of customs unions uses two concepts that explain welfare effects of moving from separate national tariff regimes to a common external tariff. [KEY] Key distinction: Trade creation vs Trade diversion Trade creation occurs when membership of the customs union allows a more expensive domestic product to be replaced by a cheaper product from a partner country. This is welfare-improving: consumers access cheaper goods. Trade diversion occurs when cheaper imports from a third country (non-member) are replaced by more expensive imports from a partner country inside the customs union, because the common external tariff now makes the third country's goods more expensive. This is welfare-reducing. For

the EU, trade creation substantially exceeded trade diversion overall (~USD 10bn creation vs ~USD 1bn diversion at the time of formation). The main area of trade diversion has been agricultural products — heavily protected under the Common Agricultural Policy. Beyond trade creation/diversion, intra-EU trade among the original six member states increased by approximately 25% following formation of the customs union. Trade with third countries also increased, as the common external tariff brought greater predictability.

3. From Customs Union to Single Market: The 1985 White Paper Achieving a customs union was only the first step. The Treaty of Rome's ultimate goal was a common market covering goods, services, persons, and capital. Progress toward this goal was painfully slow for two decades, and the European Commission concluded by the early 1980s that without fundamental changes in approach, the single market would never be achieved.

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3.1 The Three Categories of Barriers Barrier type

What it involved

Examples

Physical barriers

Border controls and checks

Customs formalities and document checks at every internal border for goods and persons

Technical barriers

Divergent national product standards, safety regulations, and professional qualification requirements

Different beer-composition rules in Germany vs Belgium (Cassis de Dijon); nonrecognition of foreign diplomas; different toy safety standards

Fiscal barriers

Different VAT rates and Different VAT rates excise duties distorting cross-border trade; border adjustments adding cost and complexity

3.2 The Methodological Problem The method used before 1985 was the root of the problem. Two obstacles combined. First: decision-making required unanimity in the Council. With 10 member states in the early 1980s, any one state could block a proposal it disliked. Progress was glacially slow. Second: the approach to harmonisation was total harmonisation — the EEC tried to adopt extremely detailed technical specifications for every product category in every member state. This required vast quantities of technical legislation, each item subject to unanimity, producing near-paralysis.

3.3 The 1992 Programme — New Approach The 1985 White Paper 'Completing the Internal Market' proposed around 300 legislative measures to be adopted by 31 December 1992. Three methodological breakthroughs enabled this. •

QMV for single-market measures: The Single European Act (1986) introduced qualified majority voting for single-market legislation, removing the unanimity blockage. One dissenting member state can no longer veto.

•

Mutual recognition (Cassis de Dijon principle): If a product is lawfully produced and marketed in one member state, it must in principle be permitted to be sold in all others. Member states cannot impose their own standards as a barrier.

-

New approach to harmonisation: EU legislation now sets only essential health and safety requirements. Detailed technical specifications are left to European standardisation bodies. This drastically reduced the volume of EU legislation needed.

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4. The Four Freedoms of the Single Market 4.1 Free Movement of Goods Free movement of goods goes well beyond the customs union (which covered only tariffs). It also requires the removal of quantitative restrictions (quotas) and all measures having equivalent effect — a broad concept defined by the Court of Justice. Key CJEU Cases — Free Movement of Goods Dassonville (Case 8/74, 1974): The Court defined ‘measures having equivalent effect to quantitative restrictions’ as: all trading rules enacted by member states which are capable of hindering, directly or indirectly, actually or potentially, intra-Community trade. This captures non-tariff barriers including national standards and certification requirements. Cassis de Dijon (Case 120/79, 1979): A German rule requiring fruit liqueurs to have at least 25% alcohol content was applied to Cassis de Dijon (a French blackcurrant liqueur with ~15-20% alcohol). The Court rejected this as an unjustified non-tariff barrier and established mutual recognition: if a product is lawfully produced and sold in one member state, it must be accepted in all others. This became the foundation of the new approach to harmonisation.

4.2 Free Movement of Persons Free movement of persons has an economic basis (promoting an efficient EU labour market) and a citizenship dimension (EU citizens’ rights). Category

Who qualifies

Main rights

Workers (employees)

Persons performing services for and under the direction of another in return for remuneration

Right to enter, reside, work; prohibition of discrimination on grounds of nationality; right to remain after employment ends

Job-seekers

Persons looking employment

Self-employed persons

Persons performing Right of establishment: set economic activity through a up and operate a business in fixed establishment in a any member state lasting manner

Companies

Legal entities performing Right of establishment; economic activities freedom to provide services across borders

for Right to reside and search for work for a reasonable period

The prohibition covers both discriminatory measures (treating non-nationals differently) and non-discriminatory measures that nonetheless disadvantage those

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exercising cross-border rights (e.g. taxing workers who work in multiple member states more harshly). Professional qualifications: different national qualification requirements were a major technical barrier. The EU has addressed this through directives on mutual recognition of professional qualifications. The Schengen Area (not coextensive with the EU) has abolished internal border controls for travel among participating states.

4.3 Free Movement of Services Services are economic activities provided for remuneration, distinct from the supply of goods, capital, or labour. Free movement requires a transfrontier element (provider and recipient in different member states) and the service must be temporary in nature. Barriers include differing national licensing, authorisation, and professional rules. •

Services Directive (2006/123/EC): Objective to realise the full potential of services markets in Europe by removing legal and administrative barriers. Covers retail, tourism, construction, and business services among others.

•

Posting of Workers Directive (2018/957/EU): Prevents social dumping by requiring posted workers to receive the same minimum working conditions (including pay) as workers in the host member state.

4.4 Free Movement of Capital Prohibition on all restrictions on movements of capital and payments — both between member states and, unlike the other three freedoms, also between member states and third countries. This freedom underpins cross-border investment, the banking system, and the deeper functioning of the eurozone.

5. Achievement and Economic Impact In general: the single market has been substantially achieved. The 1992 deadline was broadly met. However, it remains a work in progress — new technologies, digital markets, and geopolitical challenges continuously create new barriers requiring new legislation.

5.1 Macroeconomic Effects — More Modest Than Expected Indicator

Actual effect

Employment

Increase of approximately 1.5% — less than projected

Inflation

Lower than without the single market — increased competition put downward pressure on prices

GDP / GNI

Increase of approximately 2% on average — positive but below early projections

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5.2 Microeconomic Effects — More Visible •

Greater competition — profit margins fell across many sectors.

-

Price convergence — prices did not necessarily fall, but became more similar across member states.

-

More mergers and acquisitions — firms sought scale to compete in the larger market.

-

Greater specialisation — both between sectors and within them.

-

Consumer benefits: more choice, better quality, pressure on prices.

5.3 Practical Benefits for Citizens and Business •

Abolition of mobile roaming charges within the EU — EU legislation.

-

Right to study, work, or retire anywhere in the EU.

-

European Health Insurance Card (EHIC) — access to healthcare in other member states.

-

Price comparison across borders made much easier (especially within the eurozone).

-

Still a work in progress: digital single market, energy union, capital markets union all have significant gaps to fill.

New challenges: the digital economy (e-commerce, platforms, data flows), geopolitical strategic autonomy demands, and energy transition all require ongoing new single-market legislation. The EU digital single market programme (GDPR, Digital Services Act, Digital Markets Act, AI Act) represents the most important current phase of single-market development.

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Chapter 4 — The Economic and Monetary Union The EMU represents the final stage of the EU's economic integration process. This chapter explains the theoretical advantages and disadvantages of monetary union, the debate between Monetarists and Economists over sequencing, the Delors roadmap from the Hague Summit to the Treaty of Maastricht, the convergence criteria, the actual introduction of the euro, and the governance mechanisms put in place to manage the EMU — including the Stability and Growth Pact, Banking Union, and responses to the 2008 financial crisis and COVID-19.

1. The Final Stage: Theory of an EMU In theory, an Economic and Monetary Union means one common monetary policy and one common economic policy — a single central bank, a single currency, and coordinated fiscal and structural policies. In practice, the EU's EMU is asymmetric: the monetary dimension is fully supranational (the ECB, an exclusive EU competence for eurozone members), while the economic dimension remains largely a system of coordination among sovereign states.

1.1 Advantages and Disadvantages Advantages of EMU

Disadvantages of EMU

Elimination of conversion Loss of exchange rate instrument — member states costs — no exchange risk or cannot devalue to boost competitiveness fees within the eurozone No exchange rate uncertainty Loss of independent interest rate policy — the ECB sets — businesses plan and invest one rate for all eurozone members more confidently Price transparency — easier Crisis contagion — a fiscal crisis in one member state to compare prices across threatens the whole eurozone borders, reinforces competition Stronger global position — the One policy may not fit all — ECB policy optimal for some euro is the world's second but not all economies reserve currency Deeper single market — removes last currency friction from the four freedoms

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1.2 The Monetarists vs Economists Debate [KEY] Key distinction: Monetarists (France, Belgium) vs Economists (Germany, Netherlands) The Monetarists argued: first fix exchange rates, and economic convergence will follow naturally as states are forced to align their policies under the constraint of a fixed rate. The Economists argued the opposite: first converge economic policies (especially fiscal policies), and only then fix exchange rates and introduce a single currency. Without prior convergence, a monetary union among economically divergent states will generate permanent structural tensions. The Treaty of Maastricht outcome was a compromise incorporating elements of both views — a convergence stage (Stage 2 with the convergence criteria) followed by a monetary union, but with escape clauses that allowed less-than-perfect convergence. This compromise is one reason the EMU has proven structurally fragile in crisis situations.

2. From the Hague to Maastricht: The Road to the Euro The objective of an EMU was not in the original Treaty of Rome (1957). It first appeared formally at the Hague Summit (1969), where member states agreed to explore a path to EMU. An initial attempt (Werner Plan, 1970) was derailed by the collapse of the Bretton Woods monetary system and the 1973 oil crisis. In 1979, the European Monetary System (EMS) was introduced as a partial substitute: a system of semi-fixed exchange rates with agreed bands of fluctuation ($\pm 2.25\%$) among participating EEC members. It was not yet a monetary union, but it created monetary discipline and closer central bank cooperation. The decisive push came with the Delors Report (1989), presented by Commission President Jacques Delors. The report proposed a three-stage roadmap that was integrated into the Treaty of Maastricht (1992), giving the EMU project a legal framework and a timetable with a target of approximately 10-12 years. The Delors Roadmap — Three Stages to the Euro Stage 1 (1990-1993): Free movement of capital (single market requirement). Closer coordination of economic policies. Closer cooperation among national central banks. Stage 2 (1994-1998): Convergence of economic and monetary policies measured against the five Maastricht convergence criteria. Establishment of the European Monetary Institute (EMI) — precursor to the ECB. Monitoring and assessment of which states meet the criteria. Stage 3 (1999-2002): Establishment of the ECB. Irrevocable fixing of exchange rates between participating currencies (1 January 1999). Introduction of the euro as a physical currency — banknotes and coins replacing national currencies (1 January 2002 for the initial 12 participants).

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3. The Maastricht Convergence Criteria Before a member state can adopt the euro, it

must satisfy five convergence criteria specified in the Treaty of Maastricht. These remain the formal entry requirements for new eurozone members. Criterion

Threshold

Purpose

Budget deficit

Annual government deficit $\leq$ Ensure fiscal 3% of GDP before entry

Public debt

Accumulated public debt $\leq$ Prevent entering with 60% of GDP (with escape unsustainable debt levels clause if declining sufficiently)

Exchange rate stability

Currency must have stayed Demonstrate exchange rate within ERM normal margins compatibility for at least 2 years without devaluation

Inflation rate

Must not exceed by more Ensure price stability than 1.5 percentage points the average of the three best-performing member states

Long-term interest rate

Must not exceed by more Reflect market confidence in than 2 percentage points the stability average of the three bestperforming member states

discipline

Escape clauses exist for the debt criterion: a state above 60% debt may still qualify if the ratio is declining sufficiently. In practice, this escape clause was applied generously in 1998–1999, allowing states like Belgium and Italy — with debt well above 60% — to join the first wave. This structural weakness later contributed to the sovereign debt crisis.

4. From Treaty to Reality: Euro Area Membership In May 1998, 11 member states were confirmed to meet the criteria for Stage 3 from 1 January 1999: Belgium, Germany, Spain, France, Ireland, Italy, Luxembourg, Netherlands, Austria, Portugal, and Finland. Greece joined in 2001 (meeting criteria later, though its statistics were later found to have been manipulated). Denmark and the UK had formal opt-outs from the eurozone — they are not legally required to join even if they meet the criteria. On 1 January 1999, exchange rates between participating currencies were irrevocably fixed and the euro became a financial currency. On 1 January 2002, euro banknotes and coins replaced 12 national currencies. Subsequent accessions:

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Slovenia (2007), Malta and Cyprus (2008), Slovakia (2009), Estonia (2011), Latvia (2014), Lithuania (2015), Croatia (2023), Bulgaria (1 January 2026 — 21st member). [!] Exam warning: New member states (those that joined since 2004) have derogations — they are legally obligated to eventually adopt the euro once they meet the convergence criteria. Denmark has an opt-out — it is not obligated. Sweden technically has a derogation (no opt-out) but deliberately avoids meeting the exchange rate criterion. So the statement ‘all EU member states are expected to adopt the euro once they meet the convergence criteria’ is broadly TRUE but has a critical exception: Denmark’s opt-out.

Figure — The Euro Area / EMU Map: This map shows which EU member states are part of the eurozone (have adopted the euro) as of 2025–2026, and which have not yet joined. The key takeaway is that monetary union is not coextensive with EU membership: several member states — including Sweden, Poland, the Czech Republic, Hungary, and Romania — have not yet adopted the euro, though most are legally obligated to do so eventually.

5. Managing the EMU: Governance Mechanisms 5.1 The Stability and Growth Pact (1997) The SGP was put in place to ensure that eurozone members maintained fiscal discipline after adopting the euro. It operates through a preventive arm (multilateral surveillance: member states submit annual stability programmes; the Commission monitors compliance) and a corrective arm (Excessive Deficit Procedure: if a member state's deficit exceeds 3% of GDP, the Council declares an excessive deficit and requires correction; financial sanctions — deposits that become fines — can be levied). In practice, the SGP was undermined in 2003 when France and Germany

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exceeded the 3% limit and the Council refused to impose sanctions. The Pact was revised to allow more flexibility, then strengthened again after the 2008 crisis.

5.2 Post-2008 Crisis Reforms: European Semester, Sixpack, Twopack, Fiscal Compact Key Post-Crisis Governance Mechanisms European Semester: Annual cycle of economic policy coordination. Member states submit Stability/Convergence Programmes and National Reform Programmes. Commission reviews and issues country-specific recommendations. Member states then adopt their national budgets. Sixpack (2011): Reformed SGP: strengthened preventive arm (greater emphasis on debt criterion even if deficit below 3%); corrective arm introduces 'reverse qualified majority' (sanctions now semi-automatic unless Council QMV blocks them). New Excessive Imbalance Procedure to address macroeconomic imbalances beyond fiscal ones. Twopack (2013): Additional budgetary surveillance rules for eurozone states, including prior submission of draft budgets to the Commission before national parliamentary adoption. Fiscal Compact (Treaty on Stability, Coordination and Governance, 2012): Separate treaty (now ratified by all EU member states): requires member states to adopt national legislation limiting structural deficit to 0.5% of GDP (1% if debt is below 60%). Designed to prevent another sovereign debt crisis. European Stability Mechanism (ESM, 2012): Permanent rescue fund: up to €700bn available to eurozone states facing severe financing problems, conditional on economic adjustment programmes.

5.3 Banking Union (2014) Created in response to the 2007–2008 financial crisis and the sovereign debt crisis, the Banking Union aims to make the eurozone banking sector more robust by shifting supervision and resolution responsibility from national to EU level. Pillar

Name

Content

1

Single Rulebook

Common rules for all banks in the EU: deposit guarantee schemes (€100,000 per depositor), capital requirements, liquidity standards, bail-in rules.

2

Single Supervisory ECB directly supervises ~110 most significant banks in Mechanism (SSM) the eurozone; national central banks supervise smaller banks under ECB oversight.

Single Resolution Single Resolution Fund (financed by the banking sector Mechanism (SRM) itself) manages orderly resolution of failing banks without taxpayer bailouts — avoids the 2008-type scenario.

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The Banking Union replaced the pre-crisis model where bank failures were handled (and funded) entirely at national level, as occurred with Fortis, Dexia, and others. The principle is now ‘bail-in before bail-out’ — shareholders and creditors absorb losses before public money is used.

5.4 COVID-19 Response (2020) The COVID-19 pandemic triggered the activation of the ‘general escape clause’ of the SGP — fiscal rules were suspended to allow member states to spend whatever was needed. The EU also established the Recovery and Resilience Facility (RRF) — a €750 billion package of grants and loans funded by joint EU borrowing (Commission bond issuance). This was unprecedented: the EU borrowing jointly on capital markets to fund national recovery plans. The RRF requires member states to submit National Recovery and Resilience Plans committing to green and digital investments and structural reforms.

5.5 What the EMU Is Now — An Asymmetric Construction The current EMU has these main features: •

Coordination of economic policy between member states (not a single economic policy — coordination remains flexible).

•

Fiscal limits through the SGP and Fiscal Compact (coordination of fiscal policy).

•

An independent monetary policy run by the ECB (supranational, exclusive competence for eurozone members).

•

Single rules and supervision of financial institutions — the Banking Union.

•

A single currency and the euro area.

[!] Exam warning: ‘Within the EMU there is one single institution responsible for economic policy’ is FALSE. The ECB is the single institution responsible for monetary policy. For economic policy, there is no equivalent single supranational authority — only coordination mechanisms. The EMU is asymmetric: full monetary integration but incomplete economic integration. This is one of the most important structural features of the EU for understanding its vulnerabilities.

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Chapter 5 — Competition Policy of the EU EU competition policy protects the functioning of the single market by preventing companies and governments from distorting competition. It is an exclusive EU competence (as necessary for the internal market). It covers three areas: (1) prohibiting restrictive business practices (cartels); (2) prohibiting abuse of a

dominant position; (3) controlling mergers. State aid by governments is a fourth component addressed under Articles 107–108 TFEU.

1. Overview and Legal Basis Competition policy has become what the professor calls the ‘flagship of the EU’. Its major aim is to safeguard the correct functioning of the single market. Without it, dominant firms, cartels, and state subsidies would fragment the single market just as effectively as tariff barriers. The Commission — not national courts — is the primary enforcer at EU level. National competition authorities exist alongside EU competition law but cover practices that do not significantly affect trade between member states.
2. Ban on Restrictive Business Practices — Article 101 TFEU All agreements between firms, decisions by associations of firms, and concerted practices that may affect trade between member states and have as their object or effect the prevention, restriction, or distortion of competition within the EU are prohibited. This covers price-fixing cartels, market-sharing, production quotas, bidrigging, and certain exclusive distribution arrangements. Element

Content

Prohibited conduct

Agreements, decisions by associations, concerted practices

Condition 1

May affect trade between member states

Condition 2

Object or effect: prevention, restriction, or distortion of competition

Sanctions

Agreement is void (automatically null); fines or periodic penalty payments from the Commission

Examples from slides

Johnson & Johnson and Novartis (pharmaceutical cartel); DAF, Daimler, Volvo/Renault (truck manufacturing cartel)

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3. Abuse of Dominant Position — Article 102 TFEU Holding a dominant position is not illegal — size is not the problem. Abusing that position is. Dominant position means sufficient market power to behave independently of competitors, customers, and consumers. Abuse includes predatory pricing (pricing below cost to eliminate competitors), excessive pricing, tying products, exclusivity arrangements, and refusal to supply. Element

Content

Test step 1

Define the relevant market (product market + geographic market)

Test step 2

Establish dominance in that market

Test step 3

Identify abusive conduct

Sanctions

Fines or, in exceptional cases, structural break-up of the company

Example from slides

Abuse of dominant position by AB InBev on the Belgian beer market

4. Control of Concentrations — Merger Regulation (Regulation 139/2004) Mergers and acquisitions with a 'Community dimension' must be notified in advance to the Commission. Notification is compulsory — the merger cannot proceed until the Commission clears it. EU Merger Control — Notification Thresholds and Process Community dimension threshold: Combined worldwide annual turnover of all undertakings involved > €5 billion, AND at least two of the undertakings each have an EU-wide annual turnover of > €250 million (unless each achieves more than 2/3 of its EU turnover in a single member state — then national authorities handle it). Volume: Over 300 mergers per year are notified to the Commission with a Community dimension. Commission decision: Three possible outcomes: (1) unconditional approval; (2) conditional approval — the parties must accept remedies (usually structural: divestiture of specific assets or businesses); (3) prohibition — the merger cannot proceed. Example 1 — Approved unconditionally: Acquisition of Starwood Hotels & Resorts by Marriott: Commission analysed hotel accommodation in five cities (Barcelona, Milan, Venice, Vienna, Warsaw) and found sufficient remaining competition. Approved.

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Example 2 — Conditionally approved: Acquisition of SABMiller by AB InBev (world's two largest brewers): approved only on condition that AB InBev divest all SABMiller beer brands in Europe — otherwise near-monopoly would result. Example 3 — Blocked: Acquisition of Aer Lingus by Ryanair: rejected because Ryanair would gain a quasi-monopoly on flights to/from Dublin and other Irish routes.

[!] Exam warning: 'A planned merger between two companies based in the EU must be notified in advance to the European Commission' is partially TRUE but imprecise. The obligation to notify depends on the Community dimension thresholds (€5bn worldwide + €250m EU turnover for two companies) — not on where companies are based. Non-EU companies can also trigger notification obligations. Small EU mergers below the thresholds go to national competition authorities, not the Commission.

5. State Aid — Articles 107-108 TFEU State aid — financial assistance by a government (or public body) to specific firms or sectors — distorts competition in the same way cartels do. As a general principle, state aid that distorts competition and affects trade between member states is incompatible with the single market. Element

Content

General rule

State aid is in principle prohibited if it distorts competition and affects intra-EU trade

Notification

Member states must notify the Commission before granting aid; implementation is prohibited until the Commission approves

Commission decision

May approve (compatible with single market), conditionally approve, or prohibit. If aid was already granted without approval or is found incompatible, recovery with interest is ordered.

Automatic exemptions

Aid for natural disasters, aid to specific underdeveloped regions, aid for cultural objectives

Commission block exemptions

Categories of aid automatically exempt from notification (e.g. small amounts to SMEs — 'de minimis rule'; training aid; R&D aid)

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Example 1

Public support by Spain to seven professional football clubs — Spain found to have granted incompatible state aid through preferential tax treatment and land transactions

Example 2

COVID-19 pandemic: general framework allowing member states to provide aid to businesses affected — approved by Commission under a temporary framework

Example 3

Energy crisis: temporary framework for support to businesses hit by energy price increases

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Chapter 6 — External Relations of the European Union The EU's external relations have two fundamentally different tracks: external economic relations (trade policy, development cooperation — predominantly supranational, exclusive competence) and external political relations (CFSP, defence — purely intergovernmental). This structural distinction governs who acts, how decisions are made, and what the EU can actually achieve in each domain.

1. The Two Tracks of EU External Action [KEY] Key distinction: External economic relations vs External political relations (CFSP) External economic relations (trade policy, development cooperation) are supranational: the EU has exclusive or strong shared competence, the Commission negotiates on behalf of all member states, and decisions are taken under the ordinary legislative procedure or by QMV. External political relations (CFSP, defence and security policy) are purely intergovernmental: no transfer of sovereignty, unanimity required, no legislative acts possible, and the Commission and Parliament have only marginal roles. CFSP was the second pillar under Maastricht; though the pillar structure was abolished by Lisbon, the CFSP's intergovernmental character was preserved.
2. Trade Policy — External Economic Relations 2.1 EU Position in World Trade (2024) Metric

EU share and ranking

Global trade in goods

13.4% — ranked 2nd (China: 15.4%)

Global trade in services

22.8% — ranked 1st (USA: 14.4%)

Global trade combined

in

goods

and

services 16.4% — ranked 1st (China: 14.9%)

2.2 Major EU Trade Partners (2024) Trade type

Partner 1

Partner 2

Partner 3

Extra-EU trade goods

in USA 15.6%

China 15.4%

UK 9.8%

Extra-EU trade services

in USA 28%

UK 18.9%

Switzerland 9%

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2.3 Formal Objectives and Competence Article 206 TFEU: the EU shall contribute to harmonious development of world trade, the progressive abolition of restrictions on international trade and FDI, and the lowering of customs and other barriers. Trade policy is an exclusive EU competence (expanded by Lisbon to include FDI and commercial aspects of intellectual property). Decisions under the OLP or Parliament consent. The Commission negotiates; the Council and Parliament conclude agreements.

2.4 Trade Defence Instruments Instrument Common (CCT)

Customs

Purpose

Form

Tariff Applies to all goods crossing Import duty per product EU external borders. Simple category average 6.5%; tradeweighted average 1.1%.

Tariff rate quotas

Allow a pre-determined Reduced duty up to the quantity to enter at a lower quota threshold (in-quota) duty rate

Anti-dumping measures

Counter injurious effects of products exported to the EU below normal value (cost of production + reasonable profit in home market)

Anti-subsidy (countervailing) measures

Counter injurious effects of Additional import duty subsidised imports from third countries

Additional import duty; in 2024: 199 anti-dumping and anti-subsidy measures, mostly against China

Sanitary and phytosanitary Protect human and animal Product standards; market (SPS) measures health — imported goods access conditions must meet EU health and safety requirements

2.5 Trade Promotion: WTO and Bilateral Agreements The EU is a full member of the WTO (as a customs territory, alongside its 27 member states individually). EU position: the WTO multilateral trading system remains the cornerstone of free and fair trade. In practice: with the WTO increasingly blocked (no completed multilateral round since Doha 2001), the EU has concluded 44 bilateral trade agreements. Most recent significant examples: CETA (Canada), EU-Japan Economic Partnership Agreement, EU-Vietnam FTA, EU-Singapore FTA.

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Figure — EU Trade Agreements Map (2025): This map shows the network of EU trade agreements in force as of 2025, colour-coded by depth of relationship. Countries without any preferential arrangement are in the lightest shade. The map illustrates the EU's 'pyramid of partners' — from the deepest integration (EEA: Norway, Iceland, Liechtenstein — full single market participation) through customs union with Turkey, to comprehensive FTAs, association agreements, and WTO-only relationships.

3. Common Foreign and Security Policy (CFSP) 3.1 Origins and Development The CFSP was established by the Treaty of Maastricht (1992) as the second pillar of the EU, in response to the geopolitical upheavals of 1989–1991. Goals: strengthen EU security; promote peace and international security; promote international cooperation, democracy, rule of law, and respect for human rights. From the start, the CFSP was purely intergovernmental: unanimity in Council; no legislative acts; Commission and Parliament with minimal roles. The Treaty of Amsterdam (1997) added the Policy Planning and Early Warning Unit within the Council Secretariat and created the post of High Representative for the CFSP (HR-CFSP) — giving the CFSP a public face.

3.2 Lisbon Treaty Changes to the CFSP Key CFSP changes under the Treaty of Lisbon CFSP still intergovernmental: Despite abolishing the pillar structure, Lisbon preserved the CFSP's intergovernmental character. Unanimity and no legislative acts remain the rule. Permanent European Council President: António Costa (since December 2024) chairs European Council meetings that define CFSP strategic guidelines. Double-hatted High Representative: The HR for Foreign Affairs and Security Policy now simultaneously holds: (a) the HR-CFSP post (chairs Foreign Affairs Council) and (b) Vice-President of the European Commission for External Relations. Current HR: Kaja Kallas (Estonia). Purpose: ensure coherence between the Council and Commission tracks of EU external action.

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European External Action Service (EEAS): EU diplomatic service established by Lisbon and operational since 2012. Hybrid body supporting the HR. Runs ~140 EU delegations worldwide. Mutual assistance clause (Art. 42(7) TEU): If a member state is the victim of armed aggression on its territory, other member states have an obligation of aid and assistance by all means in their power. Weaker than NATO Art. 5 in practice. Solidarity clause (Art. 222 TFEU): Member states act jointly if one is struck by a terrorist attack or natural/man-made disaster. But no European army: Defence remains a national competence. The EU has no standing armed forces.

4. Case Study — EU Response to Russia's Invasion of Ukraine Russia's full-scale invasion of Ukraine on 24 February 2022 has tested the CFSP and external economic instruments of the EU simultaneously and is the most consequential external relations challenge in the EU's history.

4.1 EU Support for Ukraine •

Political and diplomatic engagement: EU statements, coordination with G7 partners, UN General Assembly resolutions.

•

European Peace Facility (EPF): off-budget instrument to reimburse member states for military equipment donated to Ukraine. Over €10bn committed by early 2025.

•

Macro-financial assistance (MFA): grants and loans to keep the Ukrainian state functioning.

•

Ukraine Facility: €50bn package (2024–2027) for reconstruction, investment, and reform.

•

Abolition of all tariff restrictions on Ukrainian goods entering the EU — full single market access for Ukrainian exports (with domestic agricultural tensions as a result).

•

EU Military Mission for Ukraine (EUMAM): training of Ukrainian forces at EU member state facilities.

•

Temporary Protection Directive: activated for the first time to grant automatic temporary protection status to Ukrainian refugees across the EU — removing the need for individual asylum applications.

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4.2 EU Sanctions against Russia The EU has adopted 14 packages of restrictive measures (to early 2025), making this the most extensive sanctions regime in EU history. Sanction category

Content

Individual measures

Asset freezes and travel bans on over 1,900 individuals and 400 entities (oligarchs, military commanders, politicians, propagandists)

Financial sanctions

Exclusion of major Russian banks from SWIFT; restrictions on access to EU capital markets; freezing of ~€300bn of Russian Central Bank assets (mainly via Euroclear in Brussels)

Trade restrictions

Export bans on dual-use goods, technology, aviation parts; import bans on Russian coal, oil, steel, iron ore, luxury goods

Transport

Russian aircraft banned from EU airspace; Russian ships banned from EU ports

Energy

Ban on Russian crude oil by sea (with limited pipeline exceptions); ban on refined petroleum products; G7 price cap mechanism

Diplomatic and visa

Expulsion of Russian diplomats; restrictions on Russian state media

Unanimity requirement challenges: all CFSP decisions — including sanctions — require unanimity. Hungary has repeatedly delayed or watered down sanctions packages, illustrating the structural weakness of unanimity-based decision-making in the CFSP.

4.3 Implications for EU Policies and Integration Implication

Content

Strategic autonomy

The invasion accelerated the EU's strategic autonomy agenda: reducing dependence on Russian energy (diversification to LNG and renewables); reshoring critical supply chains; European defence industrial investment. The EU's 'open strategic autonomy' concept has moved from academic discussion to political priority.

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Revival of EU enlargement

Rania El Ghalbzouri 43 MBA Bridging Programme

Ukraine, Moldova (granted candidate status June 2022), Georgia (December 2023), and Bosnia-Herzegovina (December 2022) joined the candidate queue. The geopolitical logic: a EU membership perspective keeps these states anchored to the European democratic community. Enlargement — which had stalled — is now a security priority.

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Chapter 7 — Check Your Progress: Answer Guide This chapter is a study tool, not a summary. For each true/false statement, the correct answer is given, the reasoning is explained, the relevant chapter is identified, and an exam-style takeaway is provided. The professor's exam format: approximately 10 true/false statements (answer + explanation required — no points for a bare true/false); one essay question.

True/False Statements Statement 1 "All EU member states are expected to adopt the euro once they meet a number of convergence criteria." Answer and Explanation Answer: Partly

TRUE — but with an important exception. Broadly true: For most EU member states (those with ‘derogations’), the obligation to eventually adopt the euro is real. All states that joined the EU from 2004 onward are legally obligated to adopt the euro once they meet the five convergence criteria and align their legislation — there is no permanent opt-out for them. The key exception: Denmark has a formal opt-out negotiated at Maastricht (1992). Denmark is NOT legally obligated to adopt the euro, even if it meets all the convergence criteria. The UK also had an opt-out before Brexit. These are fundamentally different from derogations. Sweden nuance: Sweden has a derogation (no opt-out) and is technically obligated to join when it meets the criteria — but it deliberately avoids meeting the exchange rate criterion by staying outside the ERM. Relevant chapter: Chapter 4 — EMU: convergence criteria, opt-outs vs derogations. Exam takeaway: Always mention the Denmark opt-out as the exception. Understand the distinction: opt-out = never obligated; derogation = obligated but not yet ready.

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Statement 2 “The Council of Europe defines the general political direction of the EU.” Answer and Explanation Answer: FALSE — and it contains a common fatal exam error. Why false: The Council of Europe is a completely separate international organisation (46 members, founded 1949, focuses on human rights and democracy, operates the European Court of Human Rights). It has no role in EU policy-making and is not an EU institution. What is correct: The European Council — the EU institution composed of heads of state or government — defines the general political direction of the EU (Article 15(1) TEU: ‘The European Council shall provide the Union with the necessary impetus for its development and shall define the general directions and priorities thereof’). Relevant chapter: Chapter 1 — Institutions: European Council vs Council of the EU vs Council of Europe. Exam takeaway: This is perhaps the most-tested conceptual confusion in the course. A complete answer must identify that (a) the Council of Europe is a separate organisation unrelated to the EU, and (b) it is the European Council (heads of government) that defines political direction — and the European Council cannot adopt legislative acts.

Statement 3 “Within the EMU there is one single institution responsible for economic policy.” Answer and Explanation Answer: FALSE. What is true about monetary policy: There IS one single supranational institution responsible for monetary policy in the eurozone: the European Central Bank (ECB). The ECB independently sets interest rates, manages the money supply, and pursues price stability. Monetary policy is an exclusive EU competence for eurozone members. Why it is false about economic policy: There is no single supranational institution responsible for economic policy. Economic policy — fiscal policy, tax policy, structural reforms, labour market policy — remains primarily a national responsibility. The EU’s role is coordination (European Semester, SGP, Excessive Deficit Procedure, country-specific recommendations). There is no ‘EU Economic Ministry’ equivalent to the ECB. The asymmetry: This is the defining structural feature of the EMU: fully supranational monetary policy but only coordinated economic policy. One interest rate for 21 diverse economies, with no equivalent coordinating authority for fiscal policy.

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Relevant chapter: Chapter 4 — EMU: ECB, SGP, asymmetric EMU. Exam takeaway: The word ‘economic’ makes this statement false. If the statement said ‘monetary policy’, it would be true. Be precise about the monetary/economic distinction — it is the central architectural feature of the EMU.

Statement 4 “Customs duties on goods imported from outside the EU are the biggest source

of revenue for the EU budget.” Answer and Explanation Answer: FALSE. What the biggest source actually is: The GNI-based contribution (each member state pays approximately 0.7% of its gross national income) is by far the largest source of EU revenue, representing approximately 65% of the total. This is essentially a proportional membership fee. Why customs duties are not the biggest: Customs duties and agricultural levies (traditional own resources) represent only approximately 14% of EU revenues. VAT-based contributions (~16%) are also larger than customs duties. All four revenue sources in size order: (1) GNI-based contributions ~65%; (2) VAT-based contributions ~16%; (3) Customs duties and agricultural levies ~14%; (4) Plastic own resource ~4.8%; (5) Other (fines, etc.). Relevant chapter: Chapter 2 — EU Budget: revenue sources. Exam takeaway: Customs duties do contribute to the EU budget, but they are not dominant. Knowing the approximate shares of the four main revenue sources is exam material.

Statement 5 “A planned merger between two companies based in the EU must be notified in advance to the European Commission.” Answer and Explanation Answer: Partly TRUE — but requires important qualification. What is true: There is a compulsory pre-merger notification system: all mergers and acquisitions with a ‘Community dimension’ must be notified to the Commission before completion. The critical qualification: The obligation to notify does not depend on where the companies are based. It depends on the Community dimension thresholds: (1) combined worldwide turnover of all parties > €5 billion; AND (2) at least two companies each have EU-wide turnover > €250 million. A small merger between

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two EU companies below these thresholds does NOT go to the Commission — it may go to national competition authorities. Additional nuance: Even non-EU companies (e.g. two American companies merging) must notify if they meet the EU thresholds. Location of headquarters is irrelevant to the notification trigger. Relevant chapter: Chapter 5 — Competition Policy: merger control. Exam takeaway: The notification obligation depends on size (Community dimension thresholds), not on EU location. Only large mergers go to the Commission. Smaller ones go to national authorities.

Statement 6 “The European Citizens’ Initiative is a European Union mechanism aimed at increasing direct democracy by giving EU citizens the right to make formal proposals for EU legislation.” Answer and Explanation Answer: Mostly TRUE — but one word is technically incorrect: ‘proposals’. What is correct: The ECI is indeed a direct democracy mechanism introduced by the Treaty of Lisbon. It is aimed at giving EU citizens a direct channel to EU policymaking. The conditions: 7 citizens from at least 7 member states; 1 million signatures from at least 7 member states with national thresholds. The result: the Commission must consider the initiative and respond publicly. The technical inaccuracy: Citizens do not have the right to ‘make formal proposals for EU legislation’. The right of legislative initiative belongs exclusively to the European Commission. The ECI gives citizens the right to invite (petition) the Commission to consider making a proposal. The Commission must respond but is not obligated to propose legislation. In practice: 127 initiatives registered; 11 have met the signature threshold. None has directly forced new legislation. Relevant chapter: Chapter 2 — Policy-making: ECI and Commission’s exclusive right of initiative. Exam takeaway: The distinction ‘right to propose’ vs ‘right to invite the Commission to propose’ is the key precision. The Commission retains its exclusive initiative.

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Statement 7 “A directive is binding in its entirety.” Answer and Explanation Answer: FALSE. This statement describes a regulation, not a directive. A regulation: Is binding in its entirety AND directly applicable. It becomes part of national law automatically on the date it enters into force, without any national implementing legislation. It overrides conflicting national rules. A directive: Is binding only as to the result to be achieved — member states must achieve the stated objective but choose the form and methods. They have a deadline (usually 2 years) to transpose the directive into national law. The same directive can look different in different member states, as long as the required result is achieved. A decision: Is binding in its entirety — but only on those specifically addressed (a member state, a company, or an individual). Relevant chapter: Chapter 2 — Types of EU legal acts: Article 288 TFEU. Exam takeaway: Know all three binding acts. The key distinction: regulation (binding entirely, directly applicable, general); directive (binding as to result, national implementation required, general); decision (binding entirely, specific addressee).

Essay Question: Has the Lisbon Treaty Strengthened Democracy in the EU? This question requires a structured, balanced argument. The professor signals that this is a genuine analytical question — not simply a list of Lisbon innovations. Democracy in the EU context means: to what extent are citizens involved in — and can they influence — EU decision-making and policy-making? The answer should have a clear thesis, develop arguments for and against, and reach a reasoned conclusion. Model Answer Structure Thesis (1-2 sentences): The Lisbon Treaty strengthened democracy in the EU in real and measurable ways — particularly through the extension of the ordinary legislative procedure, the European Citizens’ Initiative, and the legally binding Charter of Fundamental Rights — but it did not resolve all democratic deficits, especially the limited accountability of the European Council and the Parliament’s marginal role in the CFSP. Argument 1 — OLP extension: Lisbon made the ordinary legislative procedure the standard for almost all EU policy areas. Since the OLP requires the directly elected Parliament to co-approve all legislation, no EU law can be adopted without the consent of citizens’ elected representatives. Before Lisbon, major

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areas (agriculture, immigration, JHA) excluded the Parliament. This is the most concrete democratic gain. Argument 2 — ECI: For the first time, citizens can formally invite the Commission to propose legislation by gathering one million signatures across at least seven member states. This is a form of direct democracy — citizens have a direct channel to EU policy-making, not mediated solely through national governments or MEPs. Argument 3 — Fundamental Rights Charter: The Charter of Fundamental Rights has the same legal value as the treaties. Citizens’ rights against EU institutions and against national authorities when implementing EU law are now legally enforceable before the CJEU and national courts. This is a democratic achievement: subjecting public power to enforceable rights. Argument 4 — National parliaments: The yellow card mechanism gives national parliaments a formal role in EU law-making through subsidiarity review. This adds a second democratic layer beyond the European Parliament — linking EU legislation to nationally elected legislatures. Counterargument 1 — European Council: The most powerful political decisions are taken in the European Council, but this institution is the least democratically accountable: the Parliament cannot censure it, cannot amend its Conclusions, and has only a reporting relationship with its President. The biggest decisions (budget framework, institutional appointments, strategic direction, CFSP) are largely beyond parliamentary control. Counterargument 2 — CFSP remains intergovernmental: Foreign policy — an increasingly

important domain given Ukraine, China, Middle East — remains purely intergovernmental. The Parliament has almost no role; unanimity gives each member state a veto. Citizens have no direct democratic input into CFSP decisions. This is a structural gap in EU democratic governance. Counterargument 3 — ECI in practice: The ECI gives citizens the right to petition the Commission, not to make legislative proposals. The Commission can decline to act without legal consequence. In practice, no ECI has directly produced legislation. The democratic impact has been limited. Conclusion: Overall: yes, the Lisbon Treaty strengthened EU democracy — the OLP extension alone is a substantial and durable democratic gain. But the democratic deficit persists in the European Council (no meaningful parliamentary oversight) and the CFSP (intergovernmental; no Parliament role). The EU's democracy is increasingly robust at the legislative level but remains weak at the strategic political level.

Appendix — Course-Slide Study Summary Additions

Drawn directly from the professor's course slides. Use these alongside the handbook above.

High-Yield Comparison Tables

19.1 Main Institutions Compared

Institution	Composition	Main power	Decision style
European Council	Heads of state or government + Commission President	Political direction and priorities	Consensus
European Parliament	Directly elected MEPs	Legislation, budget, supervision	Majority votes
Council of the EU	National ministers by policy area	Legislation, budget, coordination, agreements	QMV, unanimity or simple majority
Commission	College of Commissioners + DGs	Initiative, implementation, enforcement	College responsibility
CJEU	Court of Justice + General Court	Interpretation and enforcement of EU law	Judicial majority deliberation

19.2 Legislative Procedures Compared

Procedure	Commission role	Council role	Parliament role	Best memory cue
Ordinary legislative procedure	Proposes	Co-legislator	Co-legislator with strong position	Both Parliament and Council must approve
Consultation	Proposes	Decides	Consulted only	Parliament advice, limited power
Consent	Proposal/negotiation depending on area	Decides/concludes	Approve or reject, no amendments	Parliament veto
CFSP decision-making	Limited/no ordinary initiative	Central actor	Limited consultation	Intergovernmental and non-legislative

19.3 EU Policies and Business Impact

Policy area	Business impact
Single market	Market access and fewer barriers for goods, services, capital and persons
EMU	Exchange-rate stability in euro area, ECB monetary policy, fiscal rules
Competition policy	Controls cartels, dominance, mergers and state aid
Trade policy	External tariffs, trade agreements, anti-dumping and access to third-country markets
CFSP sanctions	Can restrict trade, finance, investment or dealings with targeted actors

Exam Focus Reminders

Key distinctions and common exam traps flagged in the course slides.

Revision Checklist

Use this as a self-audit before the exam. Each item maps to content in the handbook above.

- ☐ I can explain the difference between supranational and intergovernmental cooperation.
- ☐ I can link each major treaty to its main institutional or policy change.
- ☐ I can explain Article 49 accession and Article 50 withdrawal.
- ☐ I can distinguish the European Council from the Council of the EU.
- ☐ I can describe the composition and powers of Parliament, Council, Commission and CJEU.
- ☐ I can compare ordinary legislative procedure, consultation and consent.
- ☐ I can distinguish regulations, directives, decisions, recommendations and opinions.
- ☐ I can explain exclusive, shared, supporting and special competences.

- ☐ I can explain subsidiarity in shared competences.
- ☐ I can identify the four freedoms of the single market and typical barriers.
- ☐ I can explain EMU stages, convergence criteria and the Stability and Growth Pact.
- ☐ I can distinguish restrictive agreements, abuse of dominance, merger control and state aid.
- ☐ I can explain trade promotion and trade defence instruments.
- ☐ I can explain why CFSP remains intergovernmental.

Glossary of Essential Terms

Term	Meaning
Acquis	The full body of EU law and obligations that candidate states must adopt and implement.
Common Commercial Policy	EU trade policy, an exclusive EU competence.
COREPER	Committee of Permanent Representatives preparing Council decisions.
Direct applicability	An EU act applies without needing national transposition, typical of regulations.
European Semester	Annual cycle of economic and fiscal policy coordination.
Exclusive competence	Only the EU may legislate and adopt binding acts.
Intergovernmental	Decision-making dominated by Member States and national governments.
Mutual recognition	A product lawfully marketed in one Member State should generally be accepted in another.
Ordinary legislative procedure	Main EU law-making procedure requiring agreement between Parliament and Council.
Qualified majority voting	Council voting rule requiring 55% of Member States representing 65% of the EU population.
Shared competence	Both EU and Member States can act, but Member States act where the EU has not acted.
Subsidiarity	EU action in shared areas only when objectives cannot be better achieved by Member States.
Supranational	Decision-making where powers are pooled or transferred to common EU institutions.
Treaty of Lisbon	Reform treaty creating current TEU/TFEU framework and abolishing the formal pillar structure.